

Eternal Ltd.

Sector: Internet & Catalogue Retail

29th July, 2025

HOLD

Key Changes		Target 	Rating 	Earnings 		Target	Rs. 337
Stock Type	Bloomberg Code	Sensex	NSE Code	BSE Code	Time Frame	CMP	Rs. 306
Large Cap	ETERNAL:IN	81,334	ETERNAL	543320	12 Months	Return	+10%

Data as of: 29-July-2025, 16:23hrs

Company Data	
Market Cap (Rs.cr)	295,735
52 Week High — Low (Rs.)	314 - 190
Enterprise Value (Rs. cr)	294,166
Outstanding Shares (cr)	965.0
Free Float (%)	71.9
Dividend Yield (%)	-
6m average volume (cr)	6.1
Beta	1.0
Face value (Rs.)	1.0

Shareholding (%)	Q3FY25	Q4FY25	Q1FY26
Promoters	0.0	0.0	0.0
FII's	47.3	44.4	42.3
MFs/Institutions	20.5	23.6	26.6
Public	8.0	8.5	7.6
Others	24.1	23.6	23.5
Total	100.0	100.0	100.0
Promoter Pledge	Nil	Nil	Nil

Price Performance	3 Month	6 Month	1 Year
Absolute Return	32.1%	44.8%	39.7%
Absolute Sensex	3.0%	7.9%	2.5%
Relative Return	29.2%	36.9%	37.1%

*over or under performance to benchmark index



Y.E March (cr)	FY25A	FY26E	FY27E
Sales	20,243	35,020	54,632
<i>Growth (%)</i>	<i>67.1</i>	<i>73.0</i>	<i>56.0</i>
EBITDA	637	1,248	3,575
<i>EBITDA Margin (%)</i>	<i>3.1</i>	<i>3.6</i>	<i>6.5</i>
PAT Adjusted	527	927	2,643
<i>Growth (%)</i>	<i>50.1</i>	<i>75.9</i>	<i>185.2</i>
Adjusted EPS	0.6	1.0	2.7
<i>Growth (%)</i>	<i>46.3</i>	<i>60.1</i>	<i>185.2</i>
P/E	335.8	325.2	114.1
P/B	6.4	9.6	8.9
EV/EBITDA	302.2	240.3	84.0
<i>ROE (%)</i>	<i>1.7</i>	<i>3.0</i>	<i>7.8</i>
D/E	0.1	0.1	0.1

Blinkit propels growth; valuation limits upside

Eternal Limited, formerly Zomato Limited, operates as an online food delivery company. It runs a B2C platform under the Zomato brand. The company also operates Hyperpure and Blinkit, organises events, provides payment services and engages in investment activities.

- Consolidated revenue from operations surged 70.4% YoY in Q1FY26 to Rs. 7,167cr as all segments demonstrated robust growth.
- Revenue from the quick commerce business soared 154.8% YoY to Rs. 2,400cr, while the Hyperpure supplies and India food ordering and delivery segment grew 89.4% and 16.4% YoY, respectively.
- Net order value (NOV) of B2C businesses rose 55% YoY to Rs. 20,183cr in Q1FY26, with quick commerce NOV exceeding food delivery NOV for the first time.
- EBITDA fell 35.0% YoY to Rs. 115cr in Q1FY26, mainly due to higher operating expenses; consequently EBITDA margin declined 260bps to 1.6%.
- Reported PAT plunged 90.1% YoY to Rs. 25cr in Q1FY26 because of lower EBITDA.
- Blinkit added 243 new stores in Q1FY26, taking the total to 1,544 stores, and aims to hit 2,000 stores by December 2025.

Outlook & Valuation

Eternal Limited is poised for long-term growth and improved profitability, driven by its strong market position and growth prospects in the quick commerce business (QCB). The company's focus on inventory ownership and margin improvement is expected to drive profitability. Although the industry outlook remains competitive, the company's strategy and long-term growth objectives, along with its strong management team, are expected to drive future growth. However, the stock's significant run-up in price and rich valuations limit the upside potential from current levels. Therefore, **we downgrade our rating on the stock to HOLD from BUY with a revised target price of Rs. 337, based on 6x FY27 price/sales.**

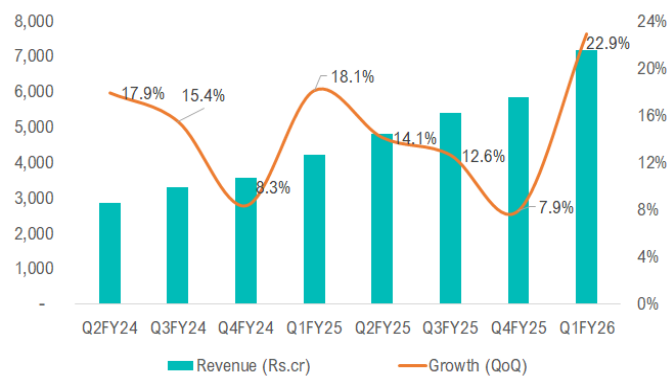
Quarterly Financials Consolidated

Rs.cr	Q1FY26	Q1FY25	YoY Growth (%)	Q4FY25	QoQ Growth (%)
Sales	7,167	4,206	70.4	5,833	22.9
EBITDA	115	177	-35.0	72	59.7
Margin (%)	1.6	4.2	-260bps	1.2	40bps
EBIT	-199	28	-810.7	-215	7.4
PBT	88	239	-63.2	97	-9.3
Rep. PAT	25	253	-90.1	39	-35.9
Adj PAT	25	253	-90.1	39	-35.9
Adj. EPS (Rs)	0.03	0.3	-90.1	0.04	-35.9

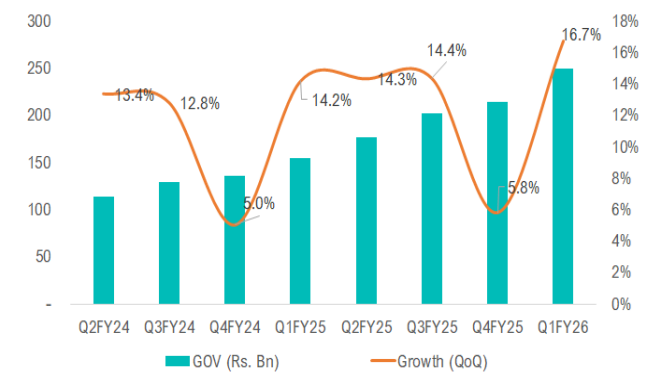
Key highlights

- NOV growth in food delivery edged lower to 13% YoY in Q1FY26 from 14% in the previous quarter. The growth trajectory of NOV is expected to stabilise after seeing a downturn in late 2024. For FY26, a growth rate exceeding 15% is anticipated, with a potential upward trend towards 20% in FY27.
- Margins of the food delivery business declined QoQ despite expanding YoY, due to lower availability of delivery partners on account of festivals and adverse weather conditions, which is a seasonal impact that occurs every year in Q1.
- The long-term profitability of the Blinkit business is not a concern, as a significant portion of the business is already generating profits, with certain cities achieving an impressive 2.5%+ adjusted EBITDA margin (as a percentage of NOV). The early achievement of such margin is a strong indication of the feasibility of the company's long-term guidance of a 5-6% margin.
- The Blinkit business witnessed a remarkable 127% YoY growth in NOV, driven by a significant 123% increase in average monthly transacting customers. The company's profitability also improved, despite ongoing investments in new store roll-outs and seasonal factors.
- The company is transitioning its quick commerce business from a marketplace model to inventory ownership over the next 2-3 quarters, anticipating a 1 percentage point margin expansion as a result, while also expecting shrinkage in Hyperpure's non-restaurant business as most B2B buyers in Hyperpure's non-restaurant business were sellers on the quick commerce platform.

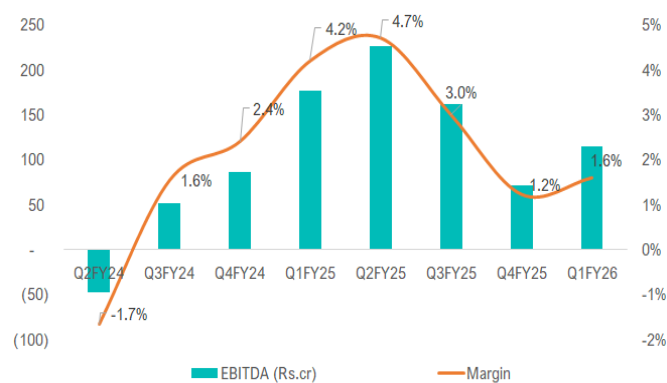
Revenue



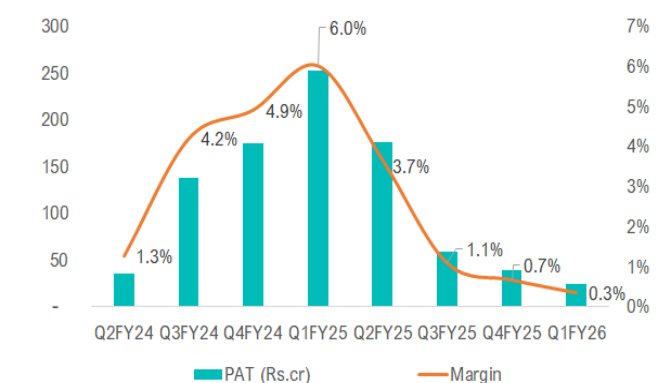
Gross Order Value



EBITDA



PAT



Change in Estimates

Year / Rs cr	Old estimates		New estimates		Change (%)	
	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
Revenue	30,738	41,743	35,020	54,632	13.9	30.9
EBITDA	1,686	3,959	1,248	3,575	-25.9	-9.7
Margins (%)	5.5	9.5	3.6	6.5	-190bps	-300bps
Adj. PAT	1,460	3,254	927	2,643	-36.5	-18.8
EPS	1.6	3.6	1.0	2.7	-40.4	-23.7



Consolidated Financials

Profit & Loss

Y.E March (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Sales	7,079	12,114	20,243	35,020	54,632
% change	68.9	71.1	67.1	73.0	56.0
EBITDA	-1,210	42	637	1,248	3,575
% change	-35.4	-100.1	63600.0	96.0	186.3
Depreciation	437	526	863	1,233	1,372
EBIT	-1,647	-484	-226	16	2,203
Interest	49	72	154	181	208
Other Income	681	847	1,077	1,401	1,530
PBT	-1,015	291	697	1,236	3,524
% change	-16.8	-128.7	139.5	77.3	185.2
Tax	44	60	-170	309	881
Tax Rate (%)	-4.3	20.6	-24.4	25.0	25.0
Reported PAT	-971	351	527	927	2,643
PAT att. to common shareholders	-971	351	527	927	2,643
Adj.*	-	-	-	-	-
Adj. PAT	-971	351	527	927	2,643
% change	-35.5	-136.1	50.1	75.9	185.2
No. of shares (cr)	855.4	882.0	965.0	965.0	965.0
Adj EPS (Rs.)	-1.2	0.4	0.6	1.0	2.7
% change	-28.1	-134.2	46.3	60.1	185.2
DPS (Rs.)	-	-	-	-	-

Cashflow

Y.E March	FY23A	FY24A	FY25A	FY26E	FY27E
Net inc. + Depn.	-520	836	1,390	2,160	4,015
Non-cash adj.	-7	-48	-506	-1,803	-2,925
Other adjustments	-	-	-	-	-
Changes in W.C	-317	-142	-576	89	-134
C.F. Operation	-844	646	308	445	956
Capital exp.	-101	-202	-931	-1,051	-1,229
Change in inv.	179	4,073	-5,941	-68	-70
Other invest.CF	379	-4,218	-1,121	181	208
C.F - Investment	457	-347	-7,993	-938	-1,091
Issue of equity	4	23	8,501	-	-
Issue/repay debt	-23	-40	-	83	87
Dividends paid	-	-	-	-	-
Other finance.CF	-108	-190	-459	-	-
C.F - Finance	-127	-207	8,042	83	87
Chg. in cash	-514	92	357	-411	-48
Closing Cash	1,017	731	3,614	3,203	3,155

Balance Sheet

Y.E March (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Cash	1,017	731	3,614	3,203	3,155
Accts. Receivable	457	794	1,946	3,309	4,971
Inventories	83	88	176	350	511
Other Cur. Assets	9,274	3,845	5,965	6,227	6,566
Investments	2,280	10,365	10,920	12,012	13,814
Gross Fixed As-sets	363	529	1,460	2,511	3,740
Net Fixed Assets	636	977	2,883	3,063	3,198
CWIP	7	18	51	56	62
Intangible Assets	5,708	5,471	6,649	6,569	6,888
Def. Tax -Net	-	-	-	-	-
Other Assets	2,137	1,067	3,419	3,556	3,700
Total Assets	21,599	23,356	35,623	38,346	42,866
Current Liabilities	1,406	2,083	3,326	5,022	6,791
Provisions	94	88	120	138	159
Debt Funds	392	588	1,654	1,737	1,824
Other Liabilities	254	191	213	213	213
Equity Capital	836	868	907	907	907
Res. & Surplus	18,624	19,545	29,410	30,337	32,980
Shareholder Funds	19,460	20,413	30,317	31,244	33,887
Minority Interest	-7	-7	-7	-7	-7
Total Liabilities	21,599	23,356	35,623	38,346	42,866
BVPS	23	23	31	32	35

Ratio

Y.E March	FY23A	FY24A	FY25A	FY26E	FY27E
Profitab. & Return					
EBITDA margin (%)	-17.1	0.3	3.1	3.6	6.5
EBIT margin (%)	-23.3	-4.0	-1.1	0.0	4.0
Net profit mgn.(%)	-13.7	2.9	2.6	2.6	4.8
ROE (%)	-5.0	1.7	1.7	3.0	7.8
ROCE (%)	-8.3	-2.3	-0.7	0.0	6.2
W.C & Liquidity					
Receivables (days)	23.6	23.9	35.1	34.5	33.2
Inventory (days)	21.7	11.1	11.5	11.3	11.0
Payables (days)	177.7	112.2	100.7	102.2	104.6
Current ratio (x)	7.5	2.6	3.5	2.6	2.2
Quick ratio (x)	4.1	1.3	2.4	1.8	1.6
Turnover & Leverage					
Gross asset T.O (x)	28.2	27.2	20.4	17.6	17.5
Total asset T.O (x)	0.4	0.5	0.7	0.9	1.3
Int. covge. ratio (x)	-33.6	-6.7	-1.5	0.1	10.6
Adj. debt/equity (x)	0.0	0.0	0.1	0.1	0.1
Valuation					
EV/Sales (x)	6.1	13.3	9.5	8.6	5.5
EV/EBITDA (x)	n.m.	3,825.7	302.2	240.3	84.0
P/E (x)	n.m.	4,44.8	335.8	325.2	114.1
P/BV (x)	2.2	7.9	6.4	9.6	8.9



Recommendation Summary - (last 3 years)



Dates	Rating	Target
11-Aug-22	BUY	69
17-Feb-23	BUY	60
08-Aug-23	BUY	114
13-Feb-24	BUY	174
16-May-24	BUY	220
28-Oct-24	BUY	284
30-Jan-25	BUY	254
29-Jul-25	HOLD	337

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

Not rated/Neutral Definition:

Buy: Acquire at Current Market Price (CMP), with the target mentioned in the research note; **Accumulate:** Partial buying or to accumulate as CMP dips in the future; **Hold:** Hold the stock with the expected target mentioned in the note.; **Reduce:** Reduce your exposure to the stock due to limited upside.; **Sell:** Exit from the stock; **Not rated/Neutral:** The analyst has no investment opinion on the stock.

Symbols definition:

▲ Upgrade

● No Change

▼ Downgrade

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

The recommendations are based on 12 month horizon, unless otherwise specified. The investment ratings are on absolute positive/negative return basis. It is possible that due to volatile price fluctuation in the near to medium term, there could be a temporary mismatch to rating. For reasons of valuations/ return/lack of clarity/event we may revisit rating at appropriate time. Please note that the stock always carries the risk of being upgraded to BUY or downgraded to a HOLD, REDUCE or SELL.

Not rated/Neutral- The analyst has no investment opinion on the stock under review.

DISCLAIMER & DISCLOSURES

Certification: I, Gopika Gopan, author of this Report, hereby certify that all the views expressed in this research report reflect our personal views about any or all of the subject issuer or securities. This report has been prepared by the Research Team of Geojit Investments Limited, hereinafter referred to as GIL.

For general disclosures and disclaimer: Please [Click here](#)

CRISIL has provided research support in preparation of this research report and the investment rational contained herein along with financial forecast. The target price and recommendation provided in the report are strictly GIL's views and are NOT PROVIDED by CRISIL. Further, CRISIL expresses no opinion on valuation and the associated recommendations. CRISIL has no financial liability whatsoever, to the subscribers / users of this report.

Regulatory Disclosures:

Group companies/ Fellow subsidiaries of Geojit Investments Ltd (GIL) are Geojit Financial Services Limited (GFSL), Geojit Technologies Private Limited (Software Solutions provider), Geojit Credits Private Limited (NBFC), Geojit Fintech Private Ltd, Geojit IFSC Ltd (a company incorporated under IFSC Regulations), Qurum Business Group Geojit Securities LLC (a subsidiary of holding company in Oman engaged in Financial Services), Barjeel Geojit Financial Services LLC (a joint venture of holding company in UAE engaged in Financial Services), and BBK Geojit Consultancy and Information KSC (C) (a joint venture in Kuwait-engaged in Financial services). In the context of the SEBI Regulations on Research Analysts (2014), GIL affirms that we are a SEBI registered Research Entity and in the course of our business as a stock market intermediary, we issue research reports /research analysis etc. that are prepared by our Research Analysts. We also affirm and undertake that no disciplinary action has been taken against us or our Analysts in connection with our business activities. In compliance with the above-mentioned SEBI Regulations, the following additional disclosures are also provided which may be considered by the reader before making an investment decision:

1. Disclosures regarding Ownership:

GIL confirms that:

(i)It/its associates have no financial interest or any other material conflict in relation to the subject company (ies) covered herein, at the time of publication of the research report.

(ii)It/its associates have no actual beneficial ownership of 1% or more in relation to the subject company (ies) covered herein, at the end of the month immediately preceding the date of publication of the research report.

Further, the Analyst confirms that:

(i) He, his associates and his relatives shall take reasonable care to ensure that they do not have any financial interest in the subject company (ies) covered herein, and they have no other material conflict in the subject company, at the time of publication of the research report.

(ii) He, his associates and his relatives have no actual/beneficial ownership of 1% or more in the subject company covered, at the end of the month immediately preceding the date of publication of the research report.

2. Disclosures regarding Compensation:

During the past 12 months, GIL or its Associates:

(a) Have not received any compensation from the subject company; (b) Have not managed or co-managed public offering of securities for the subject company (c) Have not received any compensation for investment banking or merchant banking or brokerage services from the subject company. (d) Have not received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company. e) Have not received any compensation or other benefits from the subject company or third party in connection with the research report (f) The subject company is / was not a client during twelve months preceding the date of distribution of the research report.

3. Disclosure by GIL regarding the compensation paid to its Research Analyst:

GIL hereby confirms that no part of the compensation paid to the persons employed by it as Research Analysts is based on any specific brokerage services or transactions pertaining to trading in securities of companies contained in the Research Reports.

4. Disclosure regarding the Research Analyst's connection with the subject company: It is affirmed that I, Gopika Gopan, Research Analyst (s) of GIL have not served as an officer, director or employee of the subject company.

5. Disclosure regarding Market Making activity: Neither GIL/its Analysts have engaged in market making activities for the subject company.

6. Disclosure regarding conflict of interests: GIL shall abide by the applicable regulations/ circulars/ directions specified by SEBI and Research Analyst Administration and Supervisory Body (RAASB) from time to time in relation to disclosure and mitigation of any actual or potential conflict of interest. GIL will endeavour to promptly inform the client of any conflict of interest that may affect the services being rendered to the client.

7. "Registration granted by SEBI, membership of BASL (in case of IAs) and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors."

8. Clients are required to keep contact details, including email id and mobile number/s updated with the GIL at all times.

9. In the course of providing research services by GIL, GIL cannot execute/carry out any trade (purchase/sell transaction) on behalf of, the client. Thus, the clients are advised not to permit GIL to execute any trade on their behalf.

10. GIL will never ask for the client's login credentials and OTPs for the client's Trading Account Demat Account and Bank Account. The Clients are advised not to share such information with anyone including GIL.

11. Standard Warning: "Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

12. Disclosures regarding Artificial Intelligence tools: Neither Geojit Investments Limited nor its Analysts have utilized any AI tools in the preparation of the research reports.

Please ensure that you have read the "Risk Disclosure Documents for Capital Market and Derivatives Segments" as prescribed by the Securities and Exchange Board of India before investing.

Geojit Investments Ltd. Registered Office: 7th Floor 34/659-P, Civil Line Road, Padivattom, Kochi-682024, Kerala, India. Phone: +91 484-2901000, Website : www.geojit.com/GIL . For investor queries: customer-care@geojit.com

GRIEVANCES

Step 1: The client should first contact the RA using the details on its website or following

contact details: Compliance officer: Ms. Indu K. Address: 7th Floor, 34/659-P, Civil Line Road, Padivattom, Ernakulam,; Phone: +91 484-2901367; Email: compliance@geojit.com. For Grievances:grievances@geojit.com. **Step 2:** If the resolution is unsatisfactory, the client can also lodge grievances through SEBI's SCORES platform at www.scores.sebi.gov.in **Step 3:** The client may also consider the Online Dispute Resolution (ODR) through the Smart ODR portal at <https://smartodr.in>

Corporate Identity Number: U66110KL2023PLC080586, Research Entity SEBI Reg No: INH000019567; Depository Participant : IN-DP-781-2024.

GOPIKA
GOPAN

Digitally signed by
GOPIKA GOPAN
Date: 2025.07.29
17:04:04 +05'30'

